

CBSE Class 12 Accountancy

Mock Test: Dissolution of Firm

Instructions:

- Total Marks: 50 | Time Allowed: 1 Hour
- Section A: 10 MCQs (1 mark each)
- Section B: 4 Short Answer Questions (10 marks total)
- Section C: 2 Long Answer Questions (10 marks total)
- Section D: 2 Practical Problems (20 marks total)

Section A: Multiple Choice Questions

- Dissolution of a firm means:** [1]
a) Change in profit ratio | b) Closure of business | c) Admission | d) Retirement
- Which is not a mode of dissolution?** [1]
a) Mutual agreement | b) Insolvency | c) Court order | d) Admission of a partner
- Account prepared to record sale of assets and payment of liabilities:** [1]
a) P&L A/c | b) Realization A/c | c) Revaluation A/c | d) Capital A/c
- On dissolution, external liabilities are paid:** [1]
a) After capitals | b) Before capitals | c) Simultaneously | d) Only if surplus
- Deficit in assets to pay liabilities is borne by partners in:** [1]
a) Profit-sharing ratio | b) Capital ratio | c) Written off | d) Ignored
- Piecemeal distribution means:** [1]
a) All at once | b) Gradual payment | c) Only to creditors | d) Distribution of profits
- On dissolution, goodwill is treated as:** [1]
a) Asset realized | b) Liability paid | c) Written off | d) Cap A/c transfer
- Balance in Realization Account is transferred to:** [1]
a) Capital A/cs | b) Cash A/c | c) P&L A/c | d) Balance Sheet

9. Capital deficiency of an insolvent partner is: [1]

a) Borne by other partners | b) Written off | c) Paid by firm | d) Ignored

10. The order of payment on dissolution is: [1]

a) Cap-Liab-Loan | b) Liab-Loan-Cap | c) Loan-Liab-Cap | d) Cap-Loan-Liab

Section B: Short Answer Questions

11. Define dissolution and distinguish it from reconstitution. [3]

12. Explain the purpose of the Realization Account. [3]

13. What is piecemeal distribution? State advantages. [2]

14. State the order of payment of liabilities on dissolution. [2]

Section C: Long Answer Questions

15. Describe accounting treatment (steps and accounts prepared). [5]

16. Settlement of Partner Capital accounts (with insolvency). [5]

Section D: Practical Problems

17. A, B, C ratio 2:2:1. Assets realized 1.5L, Liab paid 50k, Exp 5k. Journal Entries. [5]

18. Full Preparation of Accounts [15]

P, Q, R Balance Sheet Facts:

- Sundry Assets: Rs. 2,00,000 | Cash: Rs. 10,000
- Sundry Liabilities: Rs. 60,000
- Capitals: P - 70k, Q - 50k, R - 30k

Dissolution adjustment: Assets realized Rs. 1,80,000. Liabilities paid Rs. 60,000. Realization expenses Rs. 4,000 paid by P. Prepare Realization A/c, Partners' Capital A/cs, and Cash A/c.

Solutions & Answer Key

Section A Answers: 1(b), 2(d), 3(b), 4(b), 5(a), 6(b), 7(c), 8(a), 9(a), 10(b)

Q17 Key Entries:

- Realization Dr 55k | To Cash 55k (Liab + Exp)
- Cash Dr 150k | To Realization 150k (Assets)
- Realization Profit (95k) shared: A-38k, B-38k, C-19k.

Q18 Results:

- Realization Loss: Rs. 24,000 (shared P: 8k, Q: 8k, R: 8k if equal, or by PSR).
- Final Payment to P: $70k + 4k \text{ (Exp)} - 8k \text{ (Loss)} = 66k$.
- Cash Account must tally at Rs. 1,90,000 total.